

before dropping through the trendline. Often the peak of the second bump is below the first.

On weekly and monthly price charts, you will often see price moving up steadily over time. However, without the sharp bump-up of price, the rising trend should not be labeled a BARR. The slope of the price trendline should rise from about 30 degrees at the start to 60 degrees or higher during the bump phase. Your chart's aspect ratio may make determining the degree of slope more difficult.

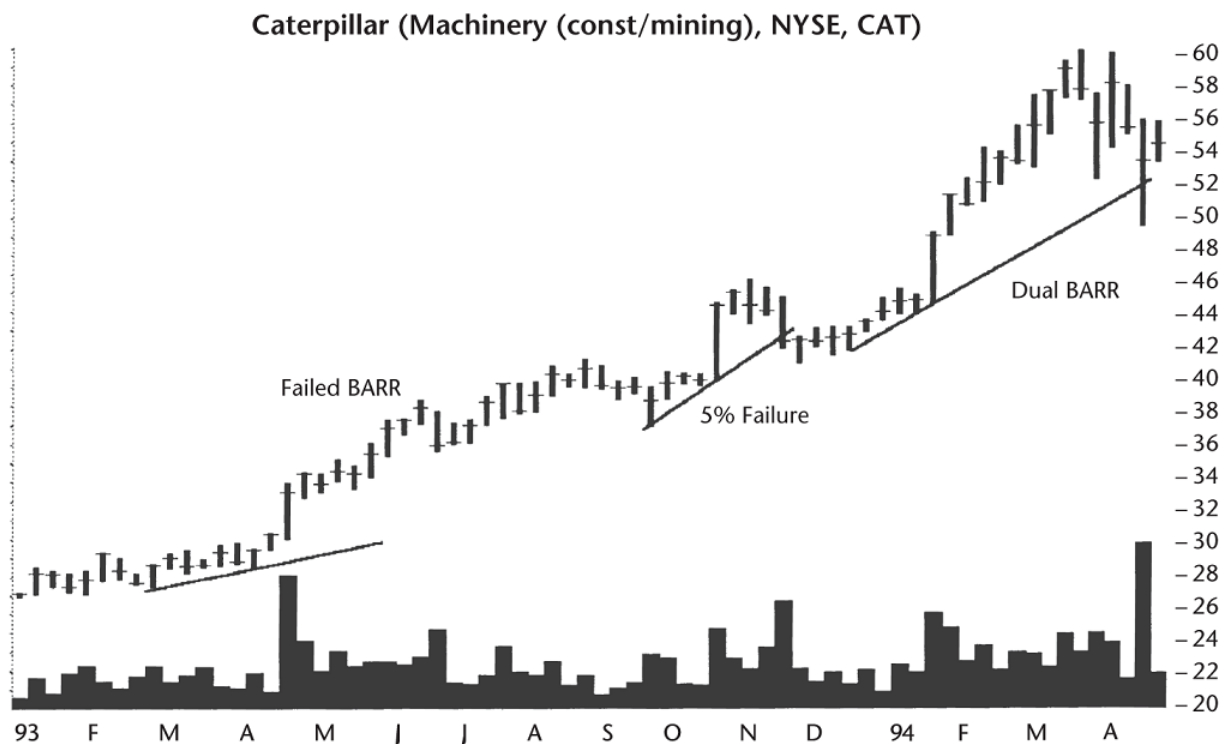


Figure 15.2 A bump-and-run reversal shown on a weekly chart. The potential BARR on the left fails as price climbs away instead of moving below the trendline. The rounded-appearing center bump-and-run reversal has good volume characteristics—high volume at the formation start, bump start, and trendline crossing. However, price declined below the trendline just 4%. That is called a 5% failure. The right bump-and-run reversal is a dual bump-and-run reversal because price approached the trendline in March, formed a second peak, and then dropped below the trendline.

To reduce the failure rate, wait for price to close below the trendline. Waiting boosts the success rate but reduces the profit that you would make if you sold near the top. In the Trading Tactics section of this chapter, I'll